



United States
Attorney's Office
Southern District of West Virginia



South Carolina Construction Company to Pay \$191,070 to the United States to Resolve False Claims Allegations

Monday, March 31, 2025

For Immediate Release

U.S. Attorney's Office, Southern District of
West Virginia

Claims Relate to Fraudulent Disaster Recovery Services After Devastating 2016 Flooding in West Virginia

CHARLESTON, W.Va. – Acting United States Attorney Lisa G. Johnston announced today that Thompson Construction Group Inc., of Sumter, South Carolina, has agreed to pay the United States \$191,070 to resolve civil allegations that it violated the federal False Claims Act by submitting false claims for payment from federal disaster recovery grant funds and by falsely certifying that homes it had constructed were compliant with contract conditions.

On June 26, 2016, portions of central and southern West Virginia experienced extreme levels of rainfall, resulting in historic flooding over a vast swath of the region. Flood waters rushing across West Virginia's mountainous landscape damaged or swept away thousands of homes, businesses, bridges and other infrastructure, leaving thousands of West Virginia residents homeless and at least 23 dead. Following a presidential disaster declaration issued in response to the flooding, Congress appropriated funds for disaster recovery in West Virginia to be administered by the U.S. Department of Housing and Urban Development (HUD) in the form of Community Development Block Grant – Disaster Recovery (CDBG-DR) funds. These funds were made available to fund an array of recovery needs in West Virginia including housing rehabilitation and replacement for low income homeowners.

Thompson was awarded a series of contracts to reconstruct homes that were damaged or destroyed during the catastrophic flood. Because future flooding and water intrusion was a concern, the contracts included specific requirements for water management including crawl space drainage systems and sump pumps to be installed in homes constructed in a flood plain. These requirements were detailed in pre-bid construction specifications and incorporated into the contracts awarded.

Thompson completed construction of these homes and submitted invoices certifying compliance with the contract terms and was paid from federal CDBG-DR funds. Investigators later learned, however, that crawl space drainage systems and sump pumps had not been installed as required, making Thompson's claims and certifications false.

The Settlement Agreement announced today requires Thompson to pay \$95,535 in restitution and \$95,535 in double damages pursuant to the False Claims Act.

"Numerous West Virginia families devastated by the 2016 flooding relied on Thompson Construction, which received significant taxpayer dollars only to leave these families vulnerable to future flooding," said Acting United States Attorney Lisa G. Johnston. "I commend HUD-OIG and the West Virginia Commission on Special Investigations for conducting the civil investigation, the Affirmative Civil Enforcement-Health Care Fraud Investigative Specialist Tyler E. Japhet in our office for assisting the investigation, and Assistant United States Attorney Gregory P. Neil for securing this settlement."

"Thompson Construction Group's actions diverted limited federal taxpayer resources that were intended to help victims rebuild homes that had been damaged by devastating floods and instead used that money to line their pockets," said Special Agent-in-Charge Shawn Rice with HUD-OIG. "HUD OIG remains steadfast in its commitment to working with our prosecutorial, law enforcement, and oversight partners to aggressively pursue individuals who engage in activities that threaten the integrity of HUD programs."

"The Commission on Special Investigations is committed to investigating all matters involving the misappropriation and theft of public funds," said Commission Director Rick Eplin. "Commission investigators spent many days in the field interviewing homeowners and contractors in this matter. In addition, they collected photographic evidence that clearly supported the allegations set forth. We are thankful for the support of our federal partners with HUD-OIG and the United States Attorney's Office who made a successful resolution of this case possible."

A copy of this press release is located on the website of the [U.S. Attorney's Office](#) for the Southern District of West Virginia.

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